

LABOUR AND EMPLOYMENT

WORKFORCE WOES

The drop in labour participation rate, made worse by the pandemic, continues to be cause for concern

By Amarnath K. Menon

THE JOB MARKET IS SHRINKING and millions are leaving it completely in India, according to the Centre for Monitoring India Economy (CMIE). Between 2017 and 2022, the overall labour participation rate dropped from 46 per cent to 40 per cent. Now, more than half of the 900 million Indians of legal working age do not have/ want a job, says the CMIE.

India needs to create at least 90 million new non-farm jobs by 2030, according to a 2020 report by the McKinsey Global Institute. That would require an annual GDP growth of at least 8-8.5 per cent, adds the report. Though the trend in decreased labour participation predates the Covid virus, the pandemic has made the situation much worse. The government has put out its own pre-Covid pandemic data from the Periodic Labour Force Survey, but actually seems to be in a state of denial. ■

Bhupender Yadav
Minister of Labour and employment

WHAT'S DONE

- Adoption of four labour codes—on wages, social security, occupational safety and industrial relations—through legislation by Parliament in 2019 and 2020
- Launch of e-Shram portal for unorganised workers

CHALLENGES AHEAD

- Persuade states to notify rules under the labour codes to ensure implementation
- Extend coverage of the Employees State Insurance scheme countrywide to bring all employees and their families under the social security scheme by 2022-end

IN THE POST-PANDEMIC ERA, two ministries led by Piyush Goyal—industries and textiles—are crucial if the Indian economy is to get to double digit growth. And right from ease of compliance to creating an ecosystem for businesses to thrive to building domestic industry's capacity and incentives for expansion, Goyal is doing it all. The latest in this is the Open Network for Digital Commerce (ONDC)—a platform to do trade in a more democratic, decentralised way—which challenges the monopolies of the MNC e-commerce players. The platform has taken cues from payment gateways like the unified payment interface and is being tested in five cities, Delhi-NCR, Bhopal, Bengaluru, Coimbatore and Shillong.

Piyush Goyal
Minister of Textiles

Goyal is also building a start-up ecosystem by cutting down the burden of compliances. In total, for industries and start-ups, 21,876 compliances related to business interface and 10,012 related to citizen interface have been streamlined. India is now the third-largest start-up ecosystem in the world with close to 69,500 recognised ones.

For industry, Goyal has expanded the PLI (production linked incentive) scheme from 3 to 13 sectors. These are at different stages of implementation. For textiles, Goyal is creating world-class infrastructure at seven Pradhan Mantri Mega Integrated Textile Region and Apparel (PM MITRA) parks with committed expenses of Rs 4,445 crore. The PLI scheme for textiles will have a Rs 10,683 crore committed fund, to be spent in the next five years. ■

WHAT'S DONE

- PLI for 13 sectors onstream
- ONDC, an open platform for e-commerce launched
- Seven PM MITRA textile parks are in different stages of implementation

CHALLENGES AHEAD

- India has improved drastically in the World Bank ease of doing business report (from 130 to 63), but lots more needs to be done
- Closer monitoring needed for PM Gati Shakti projects
- More non-tariff barriers needed to make domestic textiles competitive